

Article | 25 September 2026

UNITED STATES

THINK Ahead: US jobs report and eurozone inflation data

Next week's US jobs report will be closely watched for signals on the Fed's October rate decision, while eurozone inflation data will provide an update on underlying price pressures



We expect September's US jobs report to show 100k jobs added

THINK Ahead in developed markets

United States (James Knightley)

- **Jobs Report** (Fri): Financial markets have moved to price an October Federal Reserve interest rate hike as being more likely than not. There are two key reports that will largely determine what the Fed decides to do, with the first – the September jobs report – due on Friday. The August report was much stronger than expected after a subdued run. Given that the low-hire, low-fire narrative remains in place, we expect a downward revision to that August number, with September coming in at around 100k jobs added. The unemployment rate is expected to hold at 4.1%. This outcome will keep an October rate hike in play. The next key data release will be September inflation, due on 14 October.

Eurozone (Bert Colijn)

- **Inflation (Fri):** Eurozone inflation continues to move mainly on energy prices at the moment. But with core inflation still at the same level as it was before the Middle East war started – 2.4% in both February and August – eyes will once again be on whether signs of second-round effects are kicking in.

Key events in developed markets

Country	Time	Data/event	ING	
Tuesday 29 September				
US	1400	Jul Case-Shiller 20 (MoM%/YoY%)	0.1/2.1	0.2/2.1
	1500	Sep Consumer Confidence	90.0	89.4
	1500	Aug JOLTS job openings (000s)	7150	7271
Eurozone	1000	Sep Business Climate	-	-0.22
	1000	Sep Economic Sentiment	98.7	98.4
	1000	Sep Consumer Confidence Final	-16.5	-15.5
Spain	0800	Aug Retail Sales (MoM%/YoY%)	-/-	-0.9/-0.3
	0800	Sep CPI Flash NSA (MoM%/YoY%)	-/-	0.7/4.3
Canada	1330	Jul GDP (MoM%)	0.0	0.3
Wednesday 30 September				
US	1315	Sep ADP National Employment (000s)	70	38
	1330	Aug Personal Income (MoM%)	0.4	0.4
	1330	Aug Personal Consumption Real (MoM%)	0.4	0
	1330	Aug Consumption, Adjusted (MoM%)	1.0	0.2
	1330	Aug Core PCE Price Index (MoM%/YoY%)	0.3/3.4	0.2/3.3
	1330	Q2 GDP Final (QoQ%)	1.5	1.5
	1330	Aug goods trade balance (\$bn)	-	-
	1445	Sep Chicago PMI	51.0	47.1
Germany	0700	Aug Retail Sales (MoM%/YoY%)	1.0/-1.8	-3.4/-2.5
	0855	Sep Unemployment Rate	6.4	6.4
	1300	Sep CPI (MoM%/YoY%)	0.4/3.2	0.2/2.9
France	0745	Sep CPI Prelim (MoM%/YoY%)	-/-	0.7/2.4
UK	0700	Q2 GDP Final (QoQ%/YoY%)	-/-	0.4/1.2
	0700	Q2 Current Account GBP	-	-22.1
Italy	0900	Sep Consumer Confidence	94	94.5
	1000	Sep CPI Prelim (MoM%/YoY%)	0.3/3.8	0.5/3.3
Portugal	1100	Sep CPI Flash (MoM%/YoY%)	-/-	0/3.3
Thursday 1 October				
US	1330	Initial Jobless Claims (000s)	205	197
	1500	Sep ISM Manufacturing PMI	54	54.6
	1500	Sep ISM Manufacturing Prices Paid	75	71.1
Eurozone	0900	Sep HCOB Manufacturing PMI Final	-	52.7
	1000	Aug Unemployment Rate	6.4	6.4
Germany	0855	Sep HCOB Manufacturing PMI Final	54.3	54.3
UK	0930	Sep S&P Global/CIPS Manufacturing PMI Final	-	51.7
Italy	0845	Sep S&P Global/IHS Manufacturing PMI	49.8	49.6
	0900	Aug Unemployment Rate	5.8	5.8
Switzerland	0730	Sep CPI (MoM%/YoY%)	-/-	0.4/0.8
Friday 2 October				
US	1330	Sep Non-Farm Payrolls (000s)	90	162
	1330	Sep Private Payrolls (000s)	100	127
	1330	Sep Unemployment Rate	4.1	4.1
	1500	Aug Factory Orders (MoM%)	-0.2	0.9
Eurozone	1000	Sep CPI Flash (MoM%/YoY%)	3.3	0.4/3.2
	1000	Sep Core CPI Flash (YoY%)	2.5	2.4
Italy	0900	Aug Retail Sales (MoM%/YoY%)	-/-	-0.4/0.8

Source: Refinitiv, ING

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Article | 24 September 2026

UNITED STATES

US manufacturing revival gathers pace despite tariff and energy headwinds

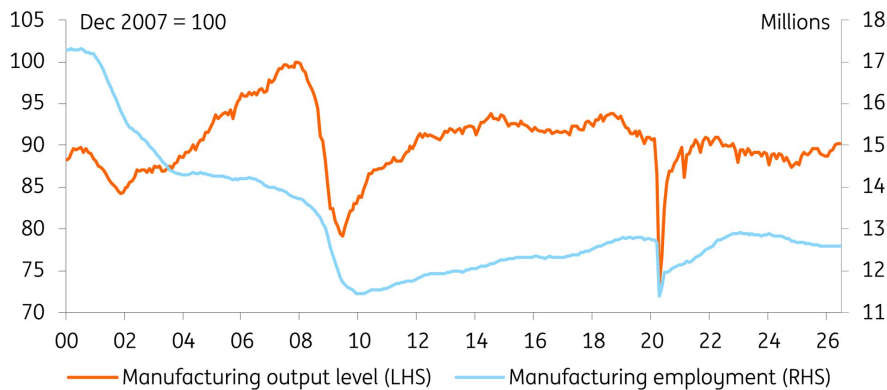
After three years of stagnation, US manufacturing appears to be on an upswing as production and order books gain momentum. Tariffs and energy costs pose challenges, but trends in reshoring, AI/robotic technologies and rising defence spending provide reasons for longer-term optimism



The revival in US manufacturing is being led by the tech sector, including Google data centres (pictured above)

The US manufacturing sector has experienced a torrid couple of decades. Output volumes remain 10% below the peak level hit just before the Global Financial Crisis in December 2007. The sector employs a million fewer workers than it did 20 years ago. Reasons for this poor performance include consumer demand preferences shifting ever further toward services over physical goods, underinvestment in advanced production facilities relative to international competitors, high US labour costs and the removal of trade barriers allowing foreign manufacturers to gain market share.

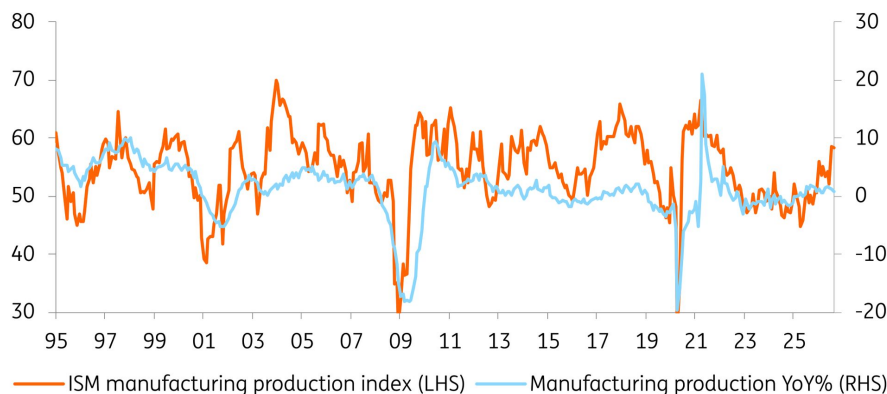
Manufacturing output levels and manufacturing employment



Source: Macrobond, ING

Nonetheless, the sector has shown genuine signs of a revival over the past year. The ISM production index has moved from sub-50 contraction territory to signalling robust growth ahead. Below, we look at what is driving this turnaround and how it could evolve.

ISM production index points to an ongoing manufacturing output upturn



Source: Macrobond, ING

Tariffs remain President Trump's primary tool

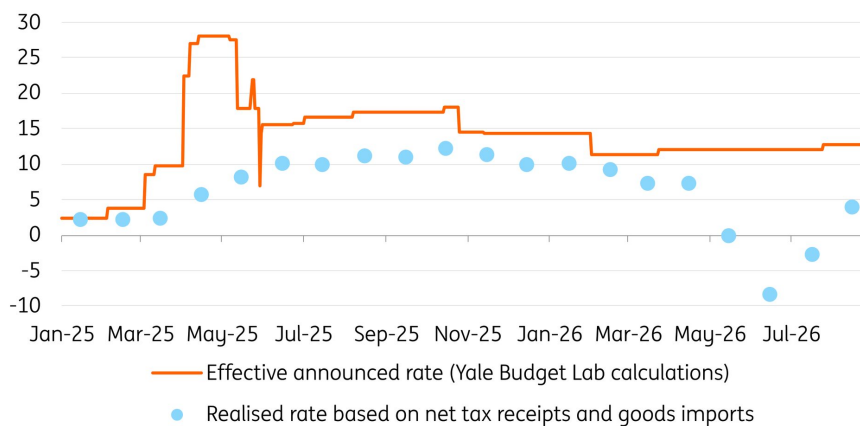
Reviving manufacturing has been top of mind for all recent presidents. In his first term, President Trump's solution was to impose tariffs on Chinese-made imports along with sector-specific levies. The rationale being that this would boost the price competitiveness of US manufacturers in key sectors. Yet it failed to generate the desired turnaround. Initiatives from President Biden similarly yielded little benefit.

In his second term, President Trump doubled down, initially announcing 25% tariffs on steel and aluminium, and then a 25% tariff on auto parts before launching into his 'Liberation Day' tariffs in April 2025 that dramatically expanded coverage.

Invoked under the International Emergency Economic Powers Act (IEEPA), individual tariff rates changed based on a trading partner's willingness to open markets to US manufacturers and guarantee investment within the US. The chart below shows that the realised tariff rate undershot the calculated implied average tariff rate based on the full-year 2024 import mix.

Reasons for this include import substitution via switching to lower-tariffed foreign suppliers, a surge in tariff-exempt high-tech imports, and better USMCA compliance. This means a greater proportion of Canadian and Mexican trade qualified for tariff exemptions, and some modest evidence of switching towards US-made products.

Effective announced tariff rates versus realised tariff rates (%)



Source: Yale budget Lab, Macrobond, ING

The Supreme Court ruled against those tariffs in late February. In response, Trump swiftly invoked Section 122 of the 1974 Trade Act. It allows tariffs of up to 15% for as long as 150 days before the US Trade Representative launches Section 301 investigations. The end result is 10% tariffs on 14 countries, including the EU, Mexico, Canada and the UK, with 46 other countries, including imports from China, Japan and India facing a 12.5% tariff. This, in itself, is a lower tariff regime under the IEEPA system.

Given several important tech and medical categories are exempted, we expect the realised tariff rate to come close to 7%. This is a less onerous environment than 12 months ago. Moreover, importing companies' cash flows are being boosted by the Supreme Court's decision to insist that the \$166bn of IEEPA tariffs be fully refunded. That means the realised tariff rate temporarily fell into negative territory in July, as IEEPA refunds more than offset all other tariff charges.

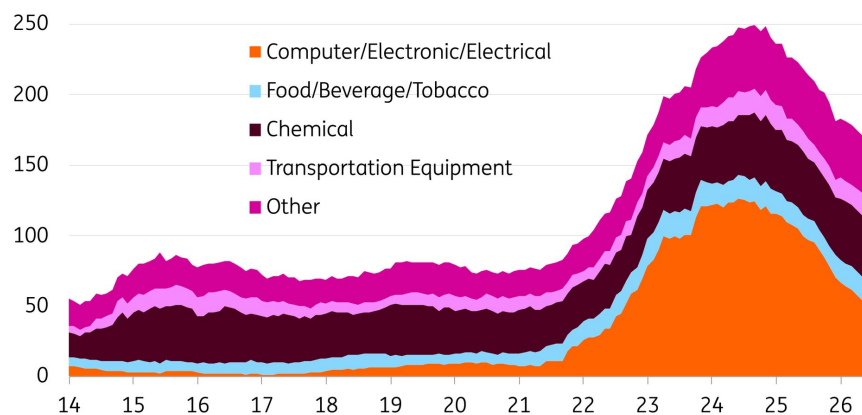
Reshoring yet to show up in construction activity

Citing the effectiveness of tariffs, the Administration has touted the "[largest reshoring wave in American history](#)". It points to a four-year high for the ISM manufacturing index while

employment in the manufacturing sector rose 58,000 in the first eight months of this year. Amid pledges from corporate America to invest more in the US, the National Association of Manufacturers reported that foreign direct investment in US manufacturing reached a new record level in [2025 of \\$2.5tr](#).

Yet manufacturing-related construction activity does not reflect this positive narrative. Manufacturing construction spending peaked in September 2024 at an annualised \$249bn and currently stands at \$170bn. We've seen a sharp slowdown in construction activity in the computer, electronics and electrical sector from \$126bn to \$57bn over that same period. That follows the conclusion of the CHIPS and Science Act from the previous Biden Administration, which provided nearly \$53bn to boost the domestic semiconductor industry. Strip out this sector and construction activity tied to the rest of manufacturing has changed little over the past two years. So, despite commitments from business leaders, little evidence suggests that a reshoring boom is underway just yet.

Manufacturing sector construction spending (\$bn)



Source: Macrobond, ING

While tariffs may improve the relative cost comparison versus foreign products, the National Association of Manufacturers states that in 2024, manufacturing employees earned an average of \$106,691, including pay and benefits. That is substantially higher than the average cost of employing someone in China, South Korea and even Germany. This suggests that for manufacturing reshoring to make sense, it would be tied to companies that are highly automated with high value-added production. Alternatively, there could be an appetite to reshore where consumers are willing to pay the premium for a 'Made in America' label or where security of supply chains is an imperative.

Sectors most likely to receive a boost include technology, transport and aerospace, electric vehicles, clean energy and pharmaceuticals. The latter is where we have seen the largest announcements, with Johnson & Johnson's \$55bn investment spending plan over the next four years and Eli Lilly announcing a \$27bn investment in its US manufacturing operations.

And in solar manufacturing, tariffs, price floors, and China-focussed trade restrictions are supporting the expansion of US manufacturing across the value chain.

While the construction numbers aren't showing any uplift yet, it takes significant time to get planning in place. Advanced manufacturing plants also take a long time to construct. Intel, for example, suggests it takes three to five years with 6,000 construction workers at a cost of \$10bn to build a new factory. An aluminium smelter takes two to three years for construction, in addition to the time needed to design and secure planning approval. Significant infrastructure is also typically required for all new manufacturing sites, including power, road, rail and water, adding to the cost of reshoring.

The Middle East conflict and energy prices

Restrictions on shipping through the Strait of Hormuz have raised concerns about energy shortages, higher prices and potential production disruption for manufacturers globally. However, the US is better positioned to manage those challenges than European and Asian competitors. The US produces more energy than it consumes. Oil prices are set in global markets and push up the cost of gasoline and diesel, with freight costs consequently increasing in the US and elsewhere. However, the US is in a better position relative to foreign competitors in terms of natural gas. Abundant domestic production is keeping prices well below long-run averages.

This has a knock-on effect: lower electricity prices vis-à-vis other countries, which should give US manufacturers a cost advantage over foreign peers. US-based companies involved with steel, metal and glass production – heavy industries that require high-temperature processes – and agriculture and fertiliser production, which use natural gas to convert into nitrogen fertilisers, should be relative winners on the global stage. Similarly, the availability of natural gas, used as a feedstock to create products such as plastics, should give a competitive boost for US manufacturers.

Nevertheless, electricity-intensive manufacturers could come under pressure as AI-driven data centre growth drives up power demand. For example, Emirates Global Aluminium and Century Aluminium are planning a 750,000-ton aluminium smelter in Oklahoma, the first new US smelter in almost 50 years. The facility would double current US aluminium output, but may face challenges competing with data centres for power.

Financial conditions are a headwind

Borrowing costs have risen in response to elevated energy prices and a belief that the Federal Reserve is set to tighten policy and keep interest rates higher for longer. In an environment of substantial government fiscal deficits and anxiety about debt sustainability, US longer-dated Treasury yields have pushed above 5%. Corporate bond spreads have tightened, but not by enough to prevent an overall rise in borrowing costs. Moody's 10Y Aaa corporate debt

benchmark index is pointing to a 56bp increase in borrowing costs since the start of the year.

Mortgage rates, auto loans and credit card borrowing costs all increased for similar reasons. This will act as a brake on economic activity over time. Auto loan and credit card delinquencies are already on par with the rates recorded in the aftermath of the Global Financial Crisis, and the household saving ratio is around 3pp below its long-run average of 6%. As such, this tightening of financial conditions, amplified by the recent strengthening of the US dollar, is a headwind for the sector.

Sector performance diverges markedly

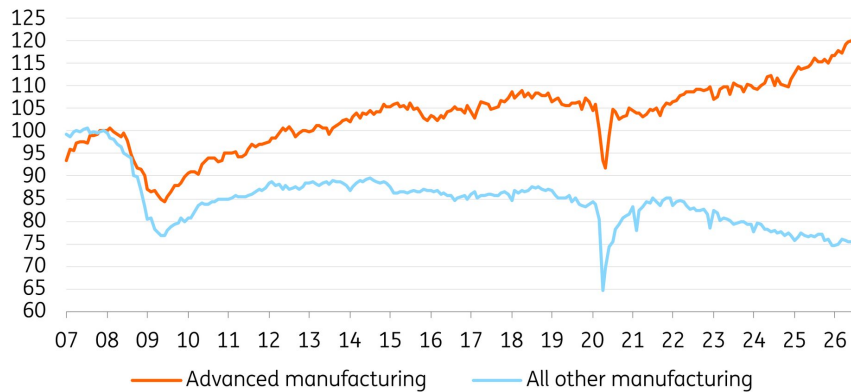
Tariffs and energy security do boost the attractiveness of manufacturing in the US. But so does US economic growth continuing to outperform other key markets. Between 2023 and 2026, the US economy has grown an average of 2.5% year-on-year in volume terms versus 0.9% in Europe.

At the same time, the US Administration believes maintaining the lead in the AI/technology frontier is imperative for both economic and national security, given competition from China. Rapid AI adoption is leading to robust construction of data centres, boosting electricity demand and spurring investment across the power supply chain, from generation and transmission to electrical equipment. In response, gas turbine manufacturers such as GE Vernova and Caterpillar are planning major capacity expansions in the US. ABB has also announced a \$110m investment to expand production of switchgear and other electrical components in Virginia, Puerto Rico, and North Carolina. The Trump administration's focus on expanding US energy dominance and industrial competitiveness is increasing the appeal of manufacturing these in the US.

As we can see in the chart below, high value-added or advanced manufacturing, within which we group tech, electronics, transport and power-related sectors, has significantly outperformed other sectors. We expect this story to continue. We also see defence as a sector that should continue to post strong growth. As more countries increase military spending, US companies may benefit from strengthening order books.

Traditional, labour-intensive, commoditised manufacturing sectors continue to shrink under pressure from foreign competitors. Here, tariffs are not enough to provide the competitiveness boost needed to offset the high cost of producing in the US. These US producers are also often detrimentally impacted in foreign markets by retaliatory tariffs.

Advanced manufacturing versus traditional output (Dec 2007 = 100)



Source: Macrobond, ING

Modest growth disguises growing bifurcation

Business surveys point to strong order books, and we see this supporting manufacturing's ongoing revival. Our volume growth forecast for US manufacturing of 1.5-2% per year over the next three years may not seem like much, but it should be seen in the context of the sluggish activity experienced over the past 20 years. This headline forecast also masks increased bifurcation, with advanced manufacturing growing rapidly while more traditional sectors look set to retrench further.

Highly automated, high-value-added sectors at the forefront of the AI/technology revolution are seen as national champions by the government and are able to absorb the relatively high wages on offer in the US. The desire to incorporate AI advances should, in theory, drive advances in productivity-enhancing initiatives that further support innovation. As such, pharma, tech, transport & aerospace, electrical and power-related sectors should continue to grow robustly.

Lower value-added production, where labour costs make up a greater share of the overall cost base of production, will continue to struggle unless it can garner a 'made in America' premium. Heavy industry, such as steel, is likely to be somewhere in the middle. While costs have risen, they have risen more elsewhere. And the perception of the US as a source of reliable energy, backed by strong political support in a higher-tariff environment, also presents opportunities for growth.

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Article | 25 September 2026

CZECH REPUBLIC

CNB Minutes: Inflationary risks are starting to materialise

The Minutes strike a more hawkish tone than the press conference, highlighting a number of inflationary risks. Some of these risks are starting to become a reality. Ergo, we see a rate hike coming in November. More tightening may follow, depending in part on the Fed and ECB policy paths, as the energy shock persists



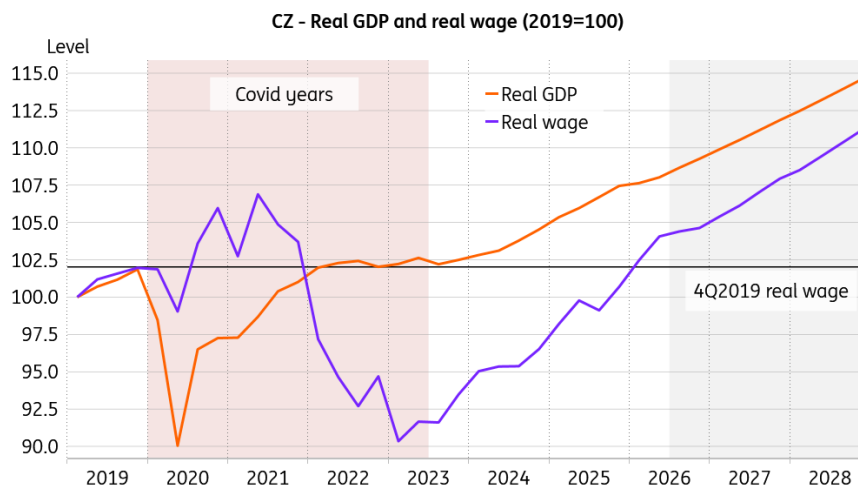
We believe the CNB will hike rates in November

Road paved with inflationary risks

The Bank Board assessed the balance of risks to price stability as tilted to the upside, with Governor Ales Michl stressing the need to maintain a hawkish stance. The current monetary policy setting was deemed adequate, with a strong koruna and elevated market rates helping the sufficiently tight setup. Core inflation is seen as too high, further driven by still-robust price dynamics in the service sector. Food prices are perceived as a significant risk to price stability, as the fundamental factors, along with the low comparison base, make renewed growth almost inevitable. Second round effects linked to the protracted oil price shock seem rather muted so far.

Nevertheless, Deputy Governor Eva Zamrazilova emphasised that the situation may change should the conflict become even more protracted. Strong global energy prices bring upward risks for electricity and natural gas prices for households. Wage growth remains relatively upbeat and above the level consistent with meeting the inflation target, despite the recent downward revision, as Jakub Seidler stressed, particularly in combination with weak productivity growth. Jan Prochazka noted that wages are continuing to recover lost purchasing power.

Real wages took a serious hit in the past



Source: CZSO, ING, Macrobond

Jan Frait does not see clear evidence of strong demand in the domestic economy, which he considers an argument for a cautious approach in terms of timing and the calibration of further policy responses. Jan Prochazka characterised the domestic economy as not overheating, while an acceleration of economic activity cannot be expected without a visible recovery in foreign demand. Still, the policymakers assess domestic demand as relatively resilient. Strong growth in lending to non-financial corporations is not yet seen as a clear sign of a credit boom. That said, according to Jan Frait, any further acceleration in overall credit growth would suggest that monetary conditions are not restrictive enough.

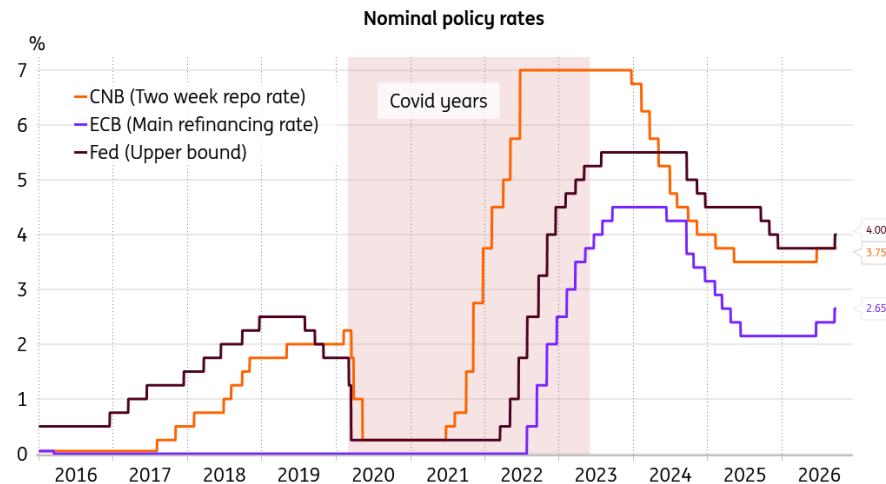
Rate rise is coming in November

We read the Minutes as more hawkish than last week's press conference, highlighting the pro-inflationary risks at every turn. There is a clear commitment to tighter monetary policy, if needed. The overall impression is that a higher base rate would be implemented without much hesitation, as the economy is deemed strong enough to withstand tighter conditions.

The situation has shifted, especially in terms of stronger oil prices, higher electricity and natural gas prices in Europe, and a weaker koruna. With all the identified pro-inflationary risks

starting to materialise, a 25bp rate increase at November's meeting is the likely outcome. At the same time, the economy's performance has moved into the spotlight, leading us to believe that any tightening will proceed with a degree of caution.

Hike, baby, hike



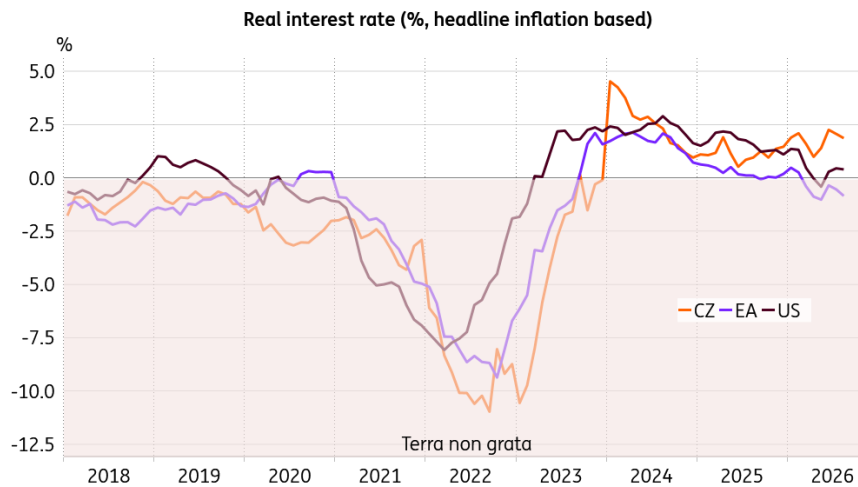
Source: Macrobond

The question is, how much tightening is needed to keep inflation in check at the relevant monetary policy horizon. Indeed, the impact of monetary adjustment needs time to work through the economy, with the full effect arriving with an approximate one-year lag. And with economic activity likely coming under pressure due to the protracted Hormuz conflict along with robust energy and basic materials prices, concerns over real economic activity and adverse impacts on household spending will gain traction. We expect the Czech National Bank to proceed step by step, with little appetite for sacrificing economic growth down the road. But sure, even more tightening after November's rate hike cannot be excluded given the course of global events.

Everyone is watching everyone else

A clear distinction between the short-term and the long-term, the transitory and the permanent, makes a lot of sense, as these fundamentally vary in their implications. At the same time, none of the monetary institutions operates in a vacuum, so the steps taken by the Federal Reserve and the European Central Bank clearly enter the reaction function of the Czech National Bank. And this consideration could gain prominence in a period of extended global turmoil, as a weaker exchange rate risks adding to imported inflation.

Negative real rates are a thing of the past, perhaps



Source: Macrobond

And here we observe some non-negligible differences among the crucial monetary institutions when it comes to their starting positions. This matters all the more as the global supply shock drags on, and the conflict evolves from a temporary disruption into a more permanent feature. The Fed and the CNB did not rush into rate reductions after the Covid-induced inflation wave, exacerbated by Russia attacking Ukraine. And here they stand with real interest rates still hovering above the zero bound. In contrast, the ECB's real interest rate has remained negative since March. Indeed, the eurozone's real interest rate drifted into what ancient mapmakers would have called *Hic sunt dracones* territory ("here be dragons").

Along with domestic price pressures, the CNB will consider the policy path of the Fed and the ECB more carefully in such a turbulent period, as a weak koruna would only add fuel to the fire of strong energy prices. On the other hand, businesses and households may start to crack under the pressure of high energy and borrowing costs at some point in the future. So what interest rate will be needed to steer the Czech economy through these rough waters? As always, the answer will reveal itself only gradually. But with both the Fed and the ECB either willing or compelled to raise rates further, additional tightening by the CNB cannot be ruled out.

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Article | 25 September 2026

CZECH REPUBLIC POLAND

CEE & CCA week ahead: Inflation data from Poland and Czech GDP

Poland and Kazakhstan will release inflation data next week, while the Czech Republic publishes second-quarter GDP details and September industrial PMI figures



We estimate that headline CPI in Poland rose above 4.0% YoY in September

Poland: Inflation set to rise above 4%

Wednesday brings the release of the September CPI flash estimate. The end of the temporary VAT cut on fuels (from 23% to 8%) in August, combined with higher crude oil prices in recent weeks, pushed fuel costs to fresh highs in September.

Meanwhile, food prices likely remained broadly stable, as the earlier sharp declines in vegetable prices appear to have run their course. Core inflation was probably little changed, but we estimate that headline CPI rose above 4.0% YoY, thereby moving clearly above the upper bound of the National Bank of Poland's inflation target tolerance range (2.5% +/-1 percentage point). This might support or even boost already high bets on rate hikes in Poland.

Czech Republic: GDP details and industrial PMI

The statistical office is expected to confirm the headline GDP figures for the second quarter on Wednesday, while the breakdown may be revised, as the contribution of changes in inventories may be absorbed into other expenditure categories. The main point of interest is whether household consumption remains strong or shows any signs of weakness. The

industrial PMI likely softened in September, on the back of the Hormuz conflict re-escalation that brought oil prices to new heights and increased uncertainty about future economic performance on the global scale.

CCA: Kazakhstan inflation expected to ease on base effects

CPI data for Kazakhstan will be released on Thursday. We expect monthly inflation to remain above its historical seasonal norm, continuing a pattern seen for much of this year. Rising external food price pressures, lingering pass-through from the VAT increase and continued growth in regulated domestic tariffs should keep monthly CPI elevated. However, the strong tenge and a more moderate fiscal stance should help contain inflationary pressures compared with last year.

As a result, we expect headline inflation to ease from 9.8% YoY in August to 9.5% in September, largely due to favourable base effects. Following the [NBK's front-loaded rate cut to 16.25% in September](#), we do not expect this moderation alone to provide a strong signal for additional easing before year-end, especially given persistent external inflation risks and uncertainty surrounding global commodity prices.

Key events in CEE & CCA next week

Country	Time (BST)	Data/event	ING	
Tuesday 29 September				
Turkey	1200	Aug Bank NPL Ratio	-	2.86
Wednesday 30 September				
Russia	1700	Aug Retail Sales (YoY%)	5.1	5.3
	1700	Aug Unemployment Rate	2.3	2.3
Turkey	0800	Aug Trade Balance Final (USD bn)	-5.2	-7.3
	0800	Aug Unemployment Rate	-	8.1
Poland	0830	Sep Inflation Rate Prelim (MoM%/YoY%)	0.8/4.2	0.3/3.4
Czech Rep	0800	Q2 GDP Final (QoQ%/YoY%)	0.4/1.9	0.4/1.9
Hungary	0730	Aug Trade Balance Final (EUR mn)	-650	448.9
Thursday 1 October				
Russia	0700	Sep S&P Global Manufacturing PMI	-	48.8
Turkey	0800	Sep Manufacturing PMI	-	48.1
	1230	Gross FX Reserves (USD bn)	63.7	68.4
Poland	0800	Sep S&P Global Manufacturing PMI	48.7	48.3
Czech Rep	0830	Sep S&P Global PMI	53.4	54.1
Hungary	0800	Sep Manufacturing PMI	52.4	51.3
Kazakhstan	-	Sep CPI (MoM%/YoY%)	0.8/9.5	0.6/9.8

Source: Refinitiv, ING

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Article | 25 September 2026

FX AUSTRALIA

RBA preview: A decisive hike to keep inflation in check

The RBA is likely to deliver a hawkish 25bp hike on 29 September as persistent inflation pressures, resilient labour demand and higher energy costs strengthen the case for keeping policy restrictive. That should offer some support for AUD, which is suffering from a deterioration in the external environment but still offers solid fundamentals

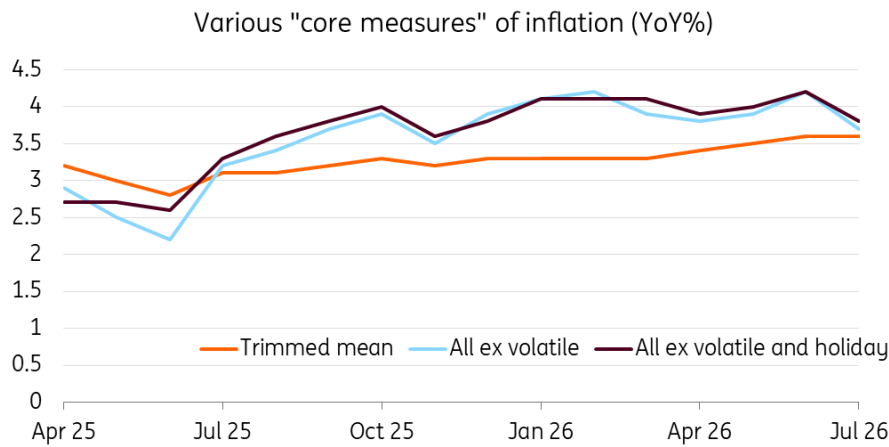


Governor of the Reserve Bank of Australia, Michele Bullock. We expect a 25bp hike next Tuesday to offer some support for the AUD

The RBA is set to lean hawkish

We expect the Reserve Bank of Australia to deliver a decisive 25bp rate hike in the cash rate to 4.6% on 29 September, reflecting an economy that continues to run hot across multiple fronts. Labour market conditions remain tight, second-quarter GDP growth surprised to the upside, and recent inflation readings have come in stronger than expected. While the housing market has shown signs of cooling, we expect the RBA to emphasise that inflation risks remain tilted to the upside and that further vigilance is required to ensure price pressures return sustainably to target.

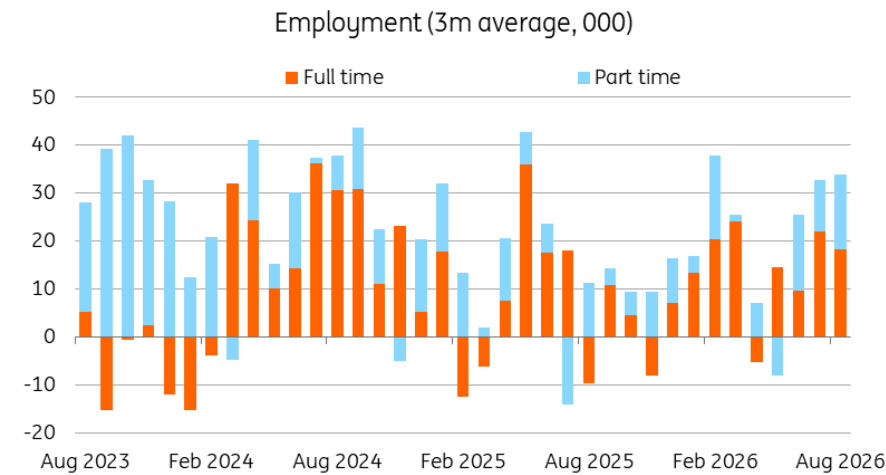
Core inflation is turning out to be stickier



What has strengthened the case for a hike

1. **Inflation risks remain tilted to the upside** following the escalation in the US-Iran conflict. While Australia is a major exporter of LNG and thermal coal, it remains heavily reliant on imported oil products such as diesel, petrol and jet fuel. Higher global oil prices have already lifted domestic fuel costs, raising input costs across transport, mining and agriculture and adding to food price pressures. The RBA estimates that a 10% increase in fuel prices could add more than 0.3ppt to headline inflation over one to two quarters, with indirect effects from production and transport costs contributing a further 0.2-0.25ppt. Even if crude oil prices moderate as we expect, domestic fuel prices are likely to remain relatively sticky, keeping inflation risks skewed to the upside.
2. **Trimmed mean inflation remains stubbornly high**, likely holding at 3.6% year-on-year in August for a third consecutive month. This suggests core inflation accelerated in 3Q rather than eased, challenging the RBA's expectation that trimmed mean inflation would slow to 3.3% by year-end. With renewed supply-side disruptions and higher fuel and food prices, the path back to target appears increasingly difficult.
3. **Labour demand remains strong**. Despite the rise in the unemployment rate to 4.6%, labour market conditions remain tight. Full-time employment growth strengthened in both July and August, while three-month average job creation accelerated to 34k, the strongest pace since the onset of the US-Iran conflict in February. The participation rate also rose to a record-high 67.1%, suggesting labour supply is increasing but is still being absorbed by robust hiring demand. The combination of strong employment growth and elevated participation points to continued labour market resilience and raises the risk that wage and underlying inflation pressures remain persistent.

Labour market remains resilient

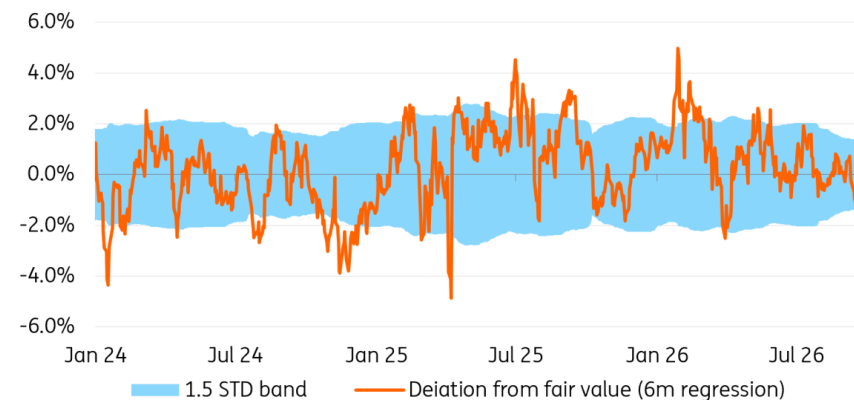


Source: CEIC, ING Research

RBA to help AUD weather turmoil

The Australian dollar has had a rough week, hit by poor risk sentiment and the global bond selloff. Our short-term fair value model (chart below) indicates AUD/USD is now undervalued beyond the 1.5 standard deviation band, suggesting a higher bar for further depreciation.

AUD/USD decline looks overdone



Source: ING, Refinitiv

Clearly, the USD leg of the story is the big question mark. An October hike by the Federal Reserve could keep USD well in demand and delay any AUD/USD recovery further. But if we are right in expecting the next Fed hike only in December, we think AUD can top the G10 scorecard in a USD correction.

That's because AUD fundamentals remain strong and should improve further with a

September rate hike by the RBA. Incidentally, there is less room for a dovish repricing in the AUD curve compared to the USD curve. Markets are pricing in 22bp for the RBA next week, and another 40bp after that, spread over the next nine months. The Fed funds futures curve currently embeds 90bp by July 2027. As we currently forecast only one hike by both the RBA (next week) and the Fed (December), the rate differential should turn more positive for AUD/USD.

We are revising our year-end target for AUD/USD from 0.73 to 0.72. In the very near term, a test of sub-0.700 levels is the risk, but we think an RBA hike can prevent a retest of the roughly 0.690 June lows.

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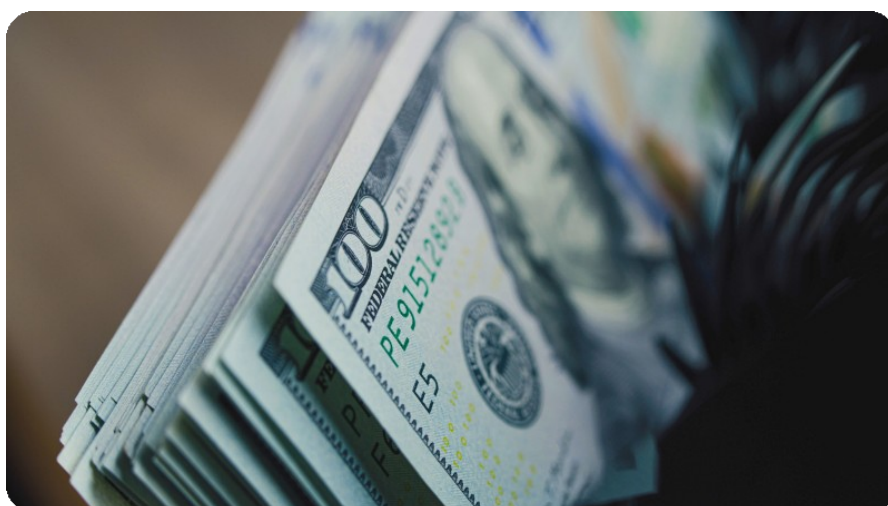
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Article | 25 September 2026

FX

FX Daily: Bond sell-off helps USD consolidate gains

The rise in back-end yields has prompted a risk-off environment that favours a consolidation of recent dollar gains. Markets remain reluctant to price in any optimism into oil prices, which keeps risks on the upside for rates. EUR/USD may still have some room to fall before recovering



The dollar is benefiting from the knock-on effects of the bond sell-off on global risk sentiment

➔ USD: Keeping an eye on the back-end

The global bond sell-off continues to leave its mark on FX. The dollar is benefiting from the knock-on effect on global risk sentiment, allowing a consolidation of recent gains even as they start to look stretched relative to short-term fundamentals. Oil prices remain bid after the UN summit failed to generate tangible optimism about a resolution in the Gulf.

Reports that the US and Iran are discussing a phased deal to reopen the Strait of Hormuz prompted a correction in oil, but losses were fully recouped within a couple of hours, underlining growing scepticism about any imminent de-escalation. It is a dynamic that argues against any material rebound in bonds for now.

By extension, we remain cautious about calling the end of this USD rally. We may see \$110/bbl for Brent before the end of the month, with the dollar finding fresh support from the energy story, especially in an environment where the Fed's hawkish remarks are allowing markets to price in more rate hikes. A testament to that is the 2-year SOFR, which is up almost 20bp over

the past 48 hours. Pricing for October has now reached 18bp, with two hikes fully priced in by January and almost four by July 2027.

Francesco Pesole

➔ **EUR: France a rising concern**

We still view the 1.1320-1.1330 area as the next key support for EUR/USD. We could reach that level quite quickly if oil prices take another sharp leg higher and/or US data surprises to the upside over the next couple of weeks. For now, we do not think new lows are imminent, but downside risks persist.

As for euro-specific drivers, economic resilience ([yesterday's Ifo index](#) mirrored strong PMIs) is at least partly being offset as a EUR-positive factor by wider eurozone spreads. French 10-year yields are trading 110bp above bunds, and there has been little relief from reports that Marine Le Pen may back the proposed budget to avert a bond crisis.

We analysed France's fiscal issues [in this note](#). Risks are tilted towards further spread widening from here, and while the FX impact remains difficult to isolate, it is a narrative that is unlikely to help the euro in the current environment.

Francesco Pesole

➔ **CHF: SNB leaves hawks disappointed**

The Swiss National Bank held rates unchanged as expected but surprised markets on the dovish side yesterday. Despite the upward revision to its inflation projections, policymakers signalled no concerns about second-round effects, with the price shock still viewed as temporary.

The SNB slightly tweaked its currency stance, removing the reference to an "increased willingness" to intervene while retaining its commitment to act when necessary. While this grabbed headlines, it is merely an adjustment reflecting the franc's recent weakness and does not imply any reluctance to intervene again should the currency appreciate.

Market pricing remains too hawkish in our view, and that is what matters most for the Swiss franc. A hike is already fully priced in by March, but we still see few reasons to tighten policy in the foreseeable future. We think downside risks remain for the franc, with EUR/CHF potentially retesting the 0.9480 highs seen earlier in September. USD/CHF is probably where the upside potential is even greater at this point: an October hike from the Federal Reserve could prompt a rally to 0.85 in the near term.

Francesco Pesole

📌 CEE: Energy shock pushes tightening bets to new highs

Regional markets remain under pressure as volatility in core rates and energy prices amplifies moves in CEE rates. At the peak, markets priced in an average of 15bp of additional tightening across the region. Despite a partial correction, rates remain elevated, leaving roughly 125bp of tightening priced in for both Poland and the Czech Republic. High oil and gas prices at yesterday's close, alongside fresh highs in 10-year US Treasury yields, point to continued stress today. Although the backdrop is not directly comparable with the 2022 energy shock, the market response is beginning to look similar. With peak tightening expectations in 2022 reaching 210bp in Poland and 165bp in the Czech Republic, further repricing cannot be ruled out if energy prices continue to rise, regardless of central bank rhetoric.

Yesterday, regional FX found support from improving rate differentials, reversing the narrowing trend in place since early September. This should help to stabilise currencies a bit. However, EUR/USD continues to test new lows and energy prices remain on the rise. Despite headlines suggesting possible US-Iran negotiations, we retain a bearish view on regional FX.

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Article | 24 September 2026

RATES SPARK

Rates Spark: US 10yr continues to target 5.25%+

The overshoot to the 5.25%-5.5% area for the US 10yr yield is ongoing. The front end paused after valuations looked stretched, but resilient macro data, elevated energy prices and inflation pressures generally continue to pressure yields higher



Bearish sentiment continues for long-end bonds

The rate hike discount looks extreme, but long bond yields can remain under pressure

The US 7yr auction tailed moderately. Not as horrendous as the previous day's 5yr auction, which tailed by a substantial 3bp. That auction was the last straw on Wednesday, prompting a follow-through rise in the 10yr yield to over 5.1%. Fast-forward to Thursday, and we're suddenly knocking on the door of 5.2%. And the driver? Predominantly it's higher real yields, as it has been for a number of months now. Which is important, as this is not shielded by the Fed hiking rates, which could be the case if we had an inflation expectations issue. We have a printed inflation problem in the rear-view mirror, but inflation expectations in fact remain relatively contained.

Ahead, we think that there are enough rate hike fears discounted at this juncture, and certainly enough to take care of perceived inflation risks. But, government bond yields are primed to remain under pressure on a pure debt dynamic theory, which translates into pressure for some re-widening in swap spreads, and especially in the 10yr area. So far,

Treasury Secretary Bessent's buyback programme has in fact been successful in the sense that it was followed up by tighter swap spreads.

Thursday saw US\$4.1bn bought back in the latest reverse auction, but we're not of the opinion that the market should be overly concerned with this, in the sense that it's not a negative. It's still a moderate positive for the long end, as the Treasury is doing at least double what they did. We get there is disappointment that it has not been more. But that was never intimated by the Treasury Secretary in the first place, in our opinion. The Treasury Secretary, in fact, should be pleased that swap spreads remain relatively contained, so far at least.

The bearish narrative remains intact with none of the key drivers behind the recent sell-off is showing signs of fading

None of the drivers that brought us the increase in rates are going away. The front end has taken a small breather after valuations started to look stretched, even as oil continued to climb. For the European Central Bank, a full 100bp priced in over the next year does appear ambitious, given that there is still a lot of uncertainty around the outlook. But ECB chief economist Lane basically confirmed on Thursday that the ECB sees itself confronted with the adverse energy market scenario while, at the same time, all data points to ongoing macro resilience.

Long-end rates remain more exposed to upward pressures, with the Bund probing towards 3.6%. That also means limited relief for spreads, with 10y French OATs still yielding 109bp above Bunds. Keep in mind that the 'positives' for France from better data are also limited, with the latest business climate indicator falling. Indeed, the overall strong PMIs masked an unexpected decline in the French manufacturing index. Regarding the broader sentiment, the weakness in equities seems more a mechanical reaction to the rise in rates rather than a genuine risk-off move at this stage. The VIX equity fear gauge stands close to the low end of this year's range.

However, after Wednesday's level-shift higher in rates, the next big moves are more likely to come next week as it features several important data releases. The underlying tenor should not stand in the way of the bearish sentiment.

In the eurozone, the flash CPI releases start on Tuesday with reports from Spain, followed by France, Germany and Italy on Wednesday, and will be scanned for confirmation of the expected rise in both headline and core inflation rates before the eurozone-wide estimate.

It is also a big week ahead for US data, with the official jobs market data for September at the end of the week. At the time of writing, the consensus is pencilled in at a solid 104k increase in non-farm payrolls. The PCE data for August will only confirm the elevated price pressures, as the inputs are largely known from other releases. We will also get the ISMs, which in the US are usually more closely watched than the S&P PMIs, but the market will be looking for

confirmation there too.

Friday's events and market view

In terms of eurozone data we will be looking at the German consumer confidence data and the ECB M3 data. The US will release durable goods orders for August and the final September reading of the University of Michigan consumer confidence index. It will be busier on the central bank speaker front. The Fed's Williams, Schmid and Hammack are scheduled for the day. The Bank of England's Bailey will also speak. From the ECB we have Vujcic.

After the markets close, the scheduled reviews from Moody's will be in focus: Italy (Baa2/Stable, the ESM and the EU (both Aaa/Stable) are on the agency's list for the day. S&P has Slovenia scheduled for a possible review (AA/Stable).

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Article | 24 September 2026

FX

FX Daily: Hawkish wave to hit Scandinavia today

We expect the Riksbank to deliver a hawkish hold, hinting at an imminent rate hike, which we expect in November. In Norway, we see a rate hike in a close decision. NOK faces greater upside than SEK as markets and consensus are more split regarding Norges Bank. Meanwhile, the dollar rally has accelerated, and the move is starting to look stretched



We expect the Riksbank to deliver a hawkish hold today

📉 USD: Rally starting to look stretched

The dollar jumped yesterday, with DXY breaking above 101.0. Very strong US PMIs, higher oil prices and soft risk sentiment have all contributed to the bullish narrative, although the move is starting to look stretched relative to fundamentals. We are cautious in calling for a bottom in the dollar just yet because any upside surprise in upcoming US data releases can easily prompt markets to fully price in an October Fed hike and prop up short-term rates even more. But if this risk doesn't materialise, we expect a correction in DXY in the coming weeks, with a return to the 100-100.5 area.

USD/JPY remains another source of potential downside risk for the dollar. The rapid rally in the

pair may draw Japanese authorities to intervene – remember last week's reported rate check – and that could easily spill over into a weaker USD across the board. Without any intervention, a return to above 160.0 levels looks inevitable after the dovish surprise by the Bank of Japan last week.

Today, focus will be on the summit between President Trump and Chinese leader Xi Jinping. There is a history of Trump striking a more conciliatory tone in face-to-face events, and Scott Bessent has already announced an extension of the trade truce by two months. We're not sure the dollar will respond much to positive US-China headlines at this stage, with any positive effect probably more visible in AUD and NZD. Those could emerge more prominently as proxies for CNY after the People's Bank of China set a weaker fixing for the yuan for the second consecutive day.

Fedspeak also remains firmly on investors' radar, with Williams, Barkin, Hammack and Paulson all due to deliver remarks today. The data calendar is quiet.

Francesco Pesole

↑ **EUR: Downside risks start to shrink**

The break below 1.140 in EUR/USD has sent the pair into stretched undervaluation territory according to our short-term fair value model. That's because short-term rate differentials actually moved in favour of the euro, offsetting the negative impact on fair value from lower equities and oil.

The move was entirely dollar-driven. [PMIs also surprised on the upside](#) in the eurozone, with services rising sharply, which marginally helped the euro in some crosses.

The lack of clear technical support in EUR/USD until the June lows, where intraday spot hit 1.1325-30, means catching the falling knife remains risky for now. However, we don't see the conditions for a break into new lows just yet unless the short-term rate differential widens in favour of USD. A 1.1430-1.1450 level would be more in line with the current environment. So we'd expect a convergence to that area ultimately.

Francesco Pesole

↑ **Scandies: A hawkish hold and a hike**

We expect SEK and NOK to outperform today thanks to a hawkish hold by the Riksbank and a 25bp rate hike by Norges Bank. NOK has more upside potential.

Markets and consensus are fully aligned in expecting no rate change by the Riksbank this morning. As discussed in our [preview](#), inflation has remained muted, even when adjusting for tax distortions. That argues against an urgent move just yet. However, the 2Q growth surprise

reduces the cost of delivering some insurance tightening, in our view, starting from the November meeting. Persistently high energy prices and SEK's weakening add to the pressure building from other central banks – especially the ECB and the Fed – that have started hiking already. We expect hints of imminent tightening and a revision higher in rate projections today.

SEK should get some help from it, but markets are already fully pricing in a November hike and another by February, meaning a decisive turn lower in EUR/SEK will still require lower oil prices and more stable risk sentiment. Upside risks into 11.35-11.40 remain in the near term, but our baseline is for a return to 11.0 by 1Q27.

In Norway (meeting preview [here](#)), inflation rebounded in August, but the underlying measure remained 0.3pp below Norges Bank's June projections. That makes it a close call today, and consensus is equally split between hike and hold. But a good growth outlook and pressure from other central banks' decisions can tilt the balance for a hike in our view. Market pricing is 16bp, allowing some room for NOK to rally from the hawkish surprise. Incidentally, markets are not pricing much more than one hike also into next year, meaning even a hawkish hold could not be dramatically negative for NOK. We think this is the last hike of the cycle anyway. We maintain a near-term EUR/NOK target of 10.70, but are looking at increasing downside risks into year-end.

Francesco Pesole

📉 CEE: Global headwinds keep regional FX under pressure

A new day brings a new direction for the markets. Market sentiment shifted again yesterday, and we saw a strong hawkish repricing across the region; rates across the region and along the curve returned to previous highs. Despite higher regional rates, we observe that rate differentials are actually narrowing or remaining stable. This is currently insufficient to stabilise FX, while the US dollar continues to rally. Coupled with a rebound in global energy prices, this creates an overall negative environment for CEE currencies.

We therefore maintain a bearish bias and anticipate further regional weakness, with the PLN likely to underperform in this environment given the central bank's dovish stance relative to its peers. Today's calendar is light, featuring only consumer confidence data from the Czech Republic – a figure unlikely to impact a market dominated by global narratives.

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Article | 23 September 2026

RATES SPARK

Rates Spark: The overshoot commences

A good series of PMIs has helped nudge global rates higher. It's taken us above some key levels, namely 5.1% on the US 10yr and 3.5% on the Euribor 10yr. And the move is likely far from over. To add insult to injury, we note that debt dynamics don't necessarily benefit from this



Higher rates can lead to wider European government bond spreads

PMIs have their day in the spotlight, and the US Treasury yield tops 5% with some conviction this time

The US composite PMI for September, at 58.4, is knocking on the door of 60. Above 60 has historically been associated with boom circumstances (at least on the ISM). Certainly some areas of the US economy are quite boomie. The Tech sector, for starters. But corporate America too. But that's the antithesis to the Michigan consumer sentiment survey, which has suggested that things have never been as bad. So bad, the data are hard to believe. Two absolute extremes. The US 10yr took note of the PMI, and shot back above 5%, even breaching above 5.1%. And the carry spread (funds rate to 2yr) is back up at over 100bp. Plus, the probability of a rate hike in October has moved above 70%. It feels like Treasuries have decided that enough of this pondering below 5% for the 10yr yield – let's just shoot above as that's where we should be. We have no issue with the move.

As we noted [here](#), it's not impossible that we get through the coming months without another

significant move higher in long-end yields. However, the balance of probabilities suggests there is at least one more leg of long-end weakness still to play out. In an extreme scenario, this could take US 10-year yields into the 5.25% to 5.5% range. Specifically, we nudged higher anticipated end-year 10yr bond yield forecasts. It was a subtle move (was 4.9%), but significant in the sense that it brings into play some key levels. In the US, the key number for the 10yr is now 5.1% at year-end, while for the eurozone we're in the 3.5% area for long-tenor rates. This is where we are now, but importantly, leaves open the risk that we're at the beginning of an overshoot process that has just begun. Now the overshoot risk really comes to the fore, and here we're still just 50bp ish above what we consider to be "normal yield levels".

Better growth is not necessarily good news for European government debt dynamics

[A sound series of PMIs](#) also pushed up euro rates, but this is a double-edged sword – higher rates can also translate to wider European government bond spreads. The spread between French 10Y government bonds (OATs) and German Bunds widened by some 6bp, pushing the spread to well above 100bp. The first stretch of the widening was driven by upside growth surprises in the eurozone, but the last 3bp was due to moves in US rates.

An improving global growth story should in theory support the fiscal outlooks of countries, but only if the improvement is proportional to the rise in rates. Compared to a year ago, the yield on a 10Y Bund is now around 100bp higher. From a debt sustainability perspective, nominal growth expectations should improve by at least 1% to match the repricing in rates. One could argue that markets were too pessimistic on long-term nominal growth expectations last year, but a full percentage point increase is a big increase.

The challenge here is that the rise in rates has been predominantly driven by external forces. US markets have taken the lead in pushing longer-dated real rates upwards, and Japan has also added to that pressure. Meanwhile, oil prices have pushed rates higher on the short end of the curve, but this has spillovers to longer rates too. All these factors can keep upward pressures on euro rates in the near term, even if the growth environment were to weaken.

Thursday's events and market views

After French consumer and manufacturing confidence numbers in the morning, the focus will be on the German Ifo readings. After strong German PMIs, markets will likely look for more promising signs in the expectations component. From the US we have weekly jobless claims numbers and new home sales data.

Italy will auction 2y BTP, 5y BTPei and 11y BTPei for a total of €4.5bn. The US will auction a new 7y Note for a total of \$44bn.

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Article | 21 September 2026

RATES FRANCE

France's elusive €54bn fiscal fix

France's fiscal position is worse than expected, and the government has not yet presented a fully documented response. Debt will keep rising, while political fragmentation means that a credible long-term solution is unlikely to emerge soon



France's fiscal position continues to deteriorate and there appears to be no long-term solution

A much tougher starting point for 2027

France's fiscal outlook has deteriorated again. The government now expects the public deficit to reach 5.4% of GDP in 2026, up from the 4.6% objective set at the start of the budgetary process and the 5.1% recorded in 2025. Weaker activity plays an important role in the explanation. The government has cut its 2026 growth forecast from 1% to 0.5%, reducing tax revenues, while energy-related support measures and higher interest expenditure have increased public spending.

The starting point for the 2027 budget is even more challenging. According to the government, the deficit could reach 6.5% of GDP without new corrective measures, as ageing-related expenditure, indexed pensions and benefits, debt-servicing costs and other commitments continue to rise, while temporary tax measures expire or are reduced. The required adjustment has also increased substantially: debt-servicing costs alone are expected to rise by around €10bn in 2027. A growing share of any fiscal effort will therefore be needed to offset higher interest expenditure.

A €54bn ambition, but few details

Prime Minister Sébastien Lecornu has announced a budgetary effort of around €54bn to limit the deficit to 5% of GDP in 2027. However, this remains a political objective rather than an adopted or fully documented plan. The government has not explained in detail how the figure was calculated, although some measures are already known.

These include freezing central government expenditure in nominal terms outside defence, restraining local government spending, freezing the civil-service pay scale, limiting increases in some pensions and benefits, saving €2bn on sick leave and extending the temporary corporate tax surcharge at a lower rate. Net public expenditure is expected to rise by 0.7% in 2027, after 1.4% in 2026. Spending would therefore continue to increase, but its share of GDP would decline slightly from 57.1% to 56.9%, despite higher defence and debt-servicing costs.

The adjustment would also rely heavily on revenues. The tax-to-GDP ratio is expected to rise from 43.9% to 44.2%, despite the government's pledge of fiscal stability. No broad-based tax increase has been announced; income-tax brackets would remain indexed to inflation and the corporate surcharge would be reduced. The government expects €1bn from stronger action against fraud and plans to review some tax breaks, but it has not explained where the rest of the additional revenue would come from. The package therefore remains only partly documented.

The €54bn headline also carries a political message. It highlights to French MPs the cost of rejecting the budget or bringing down the government, while warning the next administration about the challenge it would inherit. But adoption is far from certain. Without a parliamentary majority, the government must either negotiate enough support or resort to Article 49.3, at the risk of a no-confidence motion. The 5% deficit target therefore remains an ambition rather than a secured outcome. What is beyond doubt is that France faces a very substantial fiscal adjustment.

Debt is still moving in the wrong direction

This deterioration comes amid an already high debt burden. Public debt reached €3.54tr, or 117.5% of GDP, in the first quarter of 2026, up from 115.7% at the end of 2025. The government expects it to rise further, to 119.3% in 2026 and 121.7% in 2027. Even if the deficit falls to 5% next year, the budget would only slow the deterioration, not stabilise the debt ratio.

This leaves France increasingly exposed to higher refinancing costs. The implicit interest rate on public debt has risen from 1.25% in 2020 to around 2% in 2025. The European Commission's May forecast put it at 2.3% in 2026 and 2.43% in 2027, but the subsequent increase in market yields suggests that the eventual cost could be higher. With average debt maturity at around eight-and-a-half years, the pass-through will be gradual but persistent.

France is drifting further from its European commitments

The new targets represent a substantial departure from France's European commitments. Under the previous fiscal path, the deficit was expected to fall to 4.6% of GDP in 2026, 4.1% in 2027 and 3.4% in 2028, before moving below the EU's 3% threshold in 2029. The new figures for 2026 and 2027 are respectively 0.8 and 0.9 percentage points higher. A deficit of 5% in 2027 would leave France with more than two percentage points of adjustment to deliver in just two years to return below 3% in 2029. Such an adjustment appears highly unlikely, meaning that the commitment no longer looks credible.

A lasting solution will have to wait

France is no longer dealing only with a cyclical budget miss. Lower growth has worsened the near-term figures, but structural spending pressures and a rising interest bill are also widening the deficit. Even if the full €54bn effort is delivered, the deficit would remain far above the European threshold and insufficient to stabilise the debt ratio.

A credible multi-year consolidation plan is unlikely to emerge soon. The presidential election will take place on 18 April and 2 May 2027 and is likely to be followed by parliamentary elections, but there is a high risk that no clear majority will emerge. In that case, even an administration committed to stabilising the debt would struggle to approve and implement the necessary measures.

A different risk is that the next administration may simply choose not to prioritise fiscal consolidation, as some candidates are focusing more on new spending or reallocating expenditure than on reducing the deficit. France's ability to address its debt problem will therefore depend both on the next government's fiscal priorities and on whether it can secure sufficient parliamentary support to implement them.

Charlotte de Montpellier

Bond spreads will remain under widening pressure for now

The widening dynamic of French government bond spreads versus Germany accelerated last week after the government's budget plans again highlighted the magnitude of the problem and the difficult political path ahead. The widely watched 10y benchmark spread topped 100bp, reaching highs not seen since 2012.

On Friday, the rating agency DBRS lowered the outlook on its AA rating for France to negative. The agency Scope downgraded France to A+/Stable and cited the deteriorating fiscal outlook. Moody's, with its rating still at Aa3/Negative, is due to review on 23 October and could be next to lower its rating. One can, of course, view this as catching up with Fitch and S&P, both of which already have France at A+. The stable outlooks for these single-A ratings can also

argue for some reprieve. But the latest actions highlight that patience might be wearing thin after political turmoil that has basically been ongoing since the summer of 2024.

Arguably, a lot of the political and fiscal risk is already priced into the spread. 10y French bonds yield more than 10bp above their Italian counterpart, with debt metrics worse than France, lower ratings but arguably a less uncertain political landscape and a more domestic investor base that is deemed less volatile. Foregone carry also means positioning against France is also a costly affair.

But timelines don't play in favour of French government bonds – the 2027 budget now, the presidential election early next year, likely followed by parliamentary elections and then government formation. That means the positives for spread dynamics will likely have to come from somewhere else. Spreads have shown a greater correlation with oil prices as a gauge of geopolitical tensions. While we still eye an easing of tensions after the US mid-term elections, the Middle East conflict has already dragged on for longer than hoped.

One important backstop to the spread dynamics is the ECB and its Transmission Protection Mechanism (TPI). On paper, the conditionality of deploying TPI looks very strict, but we would argue the ECB has a lot of discretion when the broader market functioning is deemed at risk. However, the hurdle for the ECB to engage in bond purchases might be higher in the current situation where the central bank is focused on inflation and eyeing further tightening.

For now, we are looking at the widest spreads since the sovereign debt crisis of 2011/2013. French 10y spreads over German Bunds peaked just below 190bp back then, and it eventually took Draghi's famous "whatever it takes" in summer 2012 to turn the tide for good. We do not think we will head that far as the ECB precedent has been set. But without any positive developments in the Middle East and/or more encouraging headlines out of the political arena, the 10y spread could occupy a range of 100 to 125bp in the coming months.

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